

TaurEye — CFO Financial Review

All-in input costs, revenue models, unit economics & break-even, and the margin plan · Indicative figures (verify vendor pricing) · \$1 = ₹88

1. Executive summary

TaurEye is an ad-subsidised freemium EOD stock app. The cost base is unusually light because the product is static and compute runs client-side — the only material variable cost is the LLM (AI analysis/reports), and the dominant revenue is advertising, topped up by credit purchases, broker affiliate and a future Pro subscription.

Against a 1M-user base (mix: 10% light / 15% medium / 5% heavy / 70% dormant) the model lands at break-even $\approx$ 4% paying conversion, and is marginally profitable ($\approx$ +₹1.76L/month) once free reports are gated behind a rewarded ad. The plan below widens that margin and removes the single-stream ad dependency.

CFO verdict: viable at launch; margin improves with scale if we (a) cache AI output, (b) monetise free reports with rewarded ads, (c) switch on broker affiliate now, and (d) diversify off ads.

2. Input cost structure (all tools)

Free at scale (if architected right): Oracle VM (Always-Free), Cloudflare CDN (free), GitHub Actions (public repo), FCM push, NSE/BSE data, self-hosted Capgo OTA.

Item	Type	Trigger	Cost (at scale)
LLM — Anthropic (Haiku)	COGS / usage	per AI report ($\sim$ ₹0.70)	₹0.35L–₹10.5Cr/mo*
Supabase Pro	Infra / time+usage	always-on, MAU, backups	\$25 base → ~₹3.0–3.7L/mo @1M MAU
Apple Developer	Distribution / time	annual, iOS publish	\$99/yr ($\sim$ ₹700/mo)
Google Play	Distribution / one-time	Android publish	\$25 once
Domain	Infra / time	annual renewal	~₹100/mo
SMTP (auth email)	Infra / usage	signup/reset volume	~₹1,500/mo
Razorpay	Payments / per-txn	on credit sales	~2% + 18% GST
Capgo OTA	Distribution / usage	MAU (or self-host)	₹0 self-hosted
Monitoring (optional)	Ops / usage	event volume	₹0–8k/mo
Kite Connect (future)	Feature / time	only if live broker sync	₹500/mo

*LLM is the swing item — ₹0.35L/mo (light) to ₹10.5Cr/mo (every user 5 reports/day). Caching caps it at $\sim$ ₹2.4L/mo total, independent of user count (see §5). Fixed infra opex $\approx$ ₹3.5L/mo, $\sim$ 95% Supabase.

3. Revenue models

Stream	Mechanism	Rate (conservative)	Role
Banner ads	Free users only	eCPM $\sim$ ₹12 → ARPU $\sim$ ₹8.7/free user/mo	$\sim$ 55% of revenue
Rewarded ads	1 ad per free report	eCPM $\sim$ ₹80 → ₹0.08/report	Monetises free-AI bleed
Interstitial ads	Between screens	eCPM $\sim$ ₹50	Incremental
Credit packs	Razorpay (Phase C)	₹99→100, ₹299→350, ₹599→750 cr	High-intent payroll
Broker affiliate	Demat signups	₹300–500 / account	Near-100% margin, fastest

Stream	Mechanism	Rate (conservative)	Role
Pro subscription	Phase D	₹999/yr (ad-free + AI quota)	Highest LTV, recurring

Per paid report: charge 5 credits (~₹4.25) vs ~₹0.70 LLM = ~84% margin (→ ~99% with caching). Broker affiliate at 3% of 1M users ≈ ₹1.2 Cr one-time — currently un-wired (money left on table).

4. Unit economics — base case (1M users)

Monthly P&L; (base mix, rewarded-gated)	₹ / month
Report revenue (paid)	₹12.75 L
Banner ads (free users)	₹25.88 L
Rewarded ads (5M free reports)	₹4.00 L
Total revenue	₹42.63 L
LLM cost (before caching)	(₹37.10 L)
Fixed infra	(₹3.52 L)
Payment fees	(₹0.26 L)
NET	+₹1.76 L (+₹21.1 L/yr)
Break-even paying conversion	≈ 4.1%

Without rewarded-gating the same base case is −₹2.0L/mo (break-even ~6%). The rewarded ad on each free report is what flips it positive. Model is configurable in docs/unit-economics.html.

5. Pro-forma — after the cost-down / revenue-up plan

Same 1M-user base, with the plan implemented: AI output cached (LLM decouples from scale), broker affiliate live, Pro at 1% penetration (₹999/yr, ad-free), and ad mediation lifting eCPMs.

Monthly P&L; line	Base case	After plan
Report revenue (paid)	₹12.75 L	₹12.75 L
Banner ads (free users)	₹25.88 L	₹31.63 L
Rewarded ads	₹4.00 L	₹5.00 L
Interstitial ads	—	₹3.00 L
Broker affiliate	—	₹5.00 L
Pro subscriptions (1%)	—	₹8.33 L
TOTAL REVENUE	₹42.63 L	₹65.70 L
LLM cost	(₹37.10 L)	(₹2.40 L) cached
Fixed infra	(₹3.52 L)	(₹3.50 L)
Payment fees	(₹0.26 L)	(₹0.42 L)
NET / month	+₹1.76 L	+₹59.4 L
NET / year	+₹21.1 L	+₹7.1 Cr

Swing drivers: AI caching cuts LLM ₹37.1L → ₹2.4L (+₹34.7L to net); affiliate + Pro + ad uplift add ~₹23L revenue. Gross margin rises from ~13% to ~90% as the only real COGS collapses. Pro-forma — assumes the plan executes (caching shipped, 3% affiliate take-up over time, 1% Pro, eCPM uplift).

6. Cost minimisation plan (ranked by impact)

- Cache AI output per stock, per day (₹0 to build, ~80% LLM cut). Stock reports are factual + EOD — identical for all users that day. Generate once, serve to all, still charge a credit. LLM cost decouples from user count → ceiling ~₹2.4L/mo total; margin 84% → ~99%. Pre-generate the top ~500 stocks in the nightly pipeline = ₹0 marginal.
- Stop giving away the costly item. Rewarded-ad-gate free reports; cut free allowance 30 → 5/mo; heavy AI = paid-only.

- Hold fixed infra flat & cheap. Static + Oracle Always-Free + Cloudflare free + Supabase Pro (\$25, not Team) + self-host Cppgo. Prune auth audit logs + old ledger rows (pg_cron) to stay on cheap DB tiers far longer.
- Defer paid tools (Kite ₹500/mo, paid data feeds, smallcase) until revenue demands them.

7. Revenue maximisation plan (ranked by ROI)

- Broker affiliate — today. Paste Angel/Upstox/Dhan URLs. ₹300-500/signup; ~₹1.2 Cr one-time at 3% of 1M. Pure margin.
- Optimise the ad stack. Banner (free) + rewarded-per-report + interstitial; AdMob mediation + a 2nd network to lift eCPM 20-40%.
- Credit packs (Razorpay). Paywall at the high-intent moment (free reports exhausted → 'unlock full report'). 4% conversion funds the rest.
- Pro subscription (₹999/yr). Ad-free + AI quota + the institutional portfolio analytics already built — recurring, highest LTV.
- Diversify: drive affiliate + conversion + Pro so no single stream > 50% of revenue (today it's dangerously ad-heavy).

8. 90-day sequence

Phase	Actions	Cost	Impact
0 — now	Broker links · rewarded-gate AI · free=5 · AI caching · prune logs	₹0	Flips to profit; caps LLM; +₹1.2Cr affiliate ceiling
1 — launch	HTTPS+Cloudflare · Supabase Pro · Razorpay · ad mediation	~₹3-4k/mo	Unlocks paid revenue + reliability
2 — scale	Pro subscription · conversion paywalls · 2nd ad network	dev time	Recurring LTV; de-risk ads

9. KPIs & guardrails

Track monthly: gross margin/report · LLM ₹/active user · paying conversion % · ad ARPU (free user) · revenue concentration (no stream >50%) · CAC vs LTV (target ≥3:1) · Supabase MAU · cash runway.
Hard guardrail: never let credit price fall below LLM cost (the model flags this).

10. Key risks

- Ad concentration + India's low/volatile eCPM — one eCPM crash and the base case goes negative.
- Conversion is unproven — 0 paying users today; the whole plan rides on reaching ~4%.
- LLM price moves — mitigated heavily by caching.
- Single-VM / Oracle reclamation holding user money; and SEBI / GST exposure as revenue starts.

Prepared as an internal CFO review. Figures are indicative planning estimates at conservative assumptions; verify current vendor pricing and validate conversion/eCPM with live data before committing spend.